Another Yalta is Impossible

Summary

This non-paper is the result of the inaugural conference held in Minsk on 26-28 March 2015. The Minsk Dialogue is a joint initiative by two Belarusian think-tanks – the Liberal Club and the Ostrogorski Centre – that aims to create a Track-II platform to address the most challenging international issues in the shared neighborhood between the European Union and Russia. The Minsk Dialogue undertakes regular expert gatherings and publications to offer up-to-date policy advice for fostering cooperation across existing dividing lines.

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1. The post-Soviet fragmentation poses numerous regional risks, which are daunting against the background of the geopolitical escalation in eastern Europe.

2. Lack of communication across dividing lines, between the West and Russia, further strengthens the pre-existing deficit of trust among regional actors and stakeholders. As a result, all the relevant actors place the Ukraine crisis in their own domestic contexts, often without taking into account the bigger picture.

3. The Eastern Partnership, in contrast to the European Neighbourhood Policy, was originally perceived by Moscow as a project that threatens Russia's interests. With the progress of the association negotiations between the European Union and several partner countries, the Eastern Partnership acquired the character of a geopolitical struggle. After this, conflict became unavoidable.

4. The geopolitical struggle already turned into the driving force behind the accelerated Eurasian integration. As a result, in less than five years the project formally passed through three stages: from a customs union to a common economic space to an economic union. However, a number of fundamental issues remained unaddressed in the course of the integration process. In particular, the identity problem – on what values does the Eurasian integration rest? – has been neither discussed nor resolved.

Technically speaking, of the four economic freedoms that the European Union espouses, only one of those – free movement of labour – fully operates in the Eurasian Economic Union.

5. As the European Union example suggests, true economic integration only works when countries pool sovereignty. In the case of the Eurasian Economic Union, integration institutions such as the Eurasian Economic Commission are dominated by Russia and important decisions are made at the national level. Due to these and other internal factors the Eurasian Economic Union has almost exhausted its potential for further enlargement.

6. Integration projects in the shared neighbourhood (both EU- and Russia-driven) remain elite-centric. Thus, they lack societal cohesion and cause fragmentation at critical junctures. At the same time, recently societies in countries with more liberal political regimes have emerged as a new factor in international relations. However, their role (and relations) with traditional political and diplomatic actors remains uncertain.

7. Under these circumstances, a choice between the East and West inevitably brings conflict and further polarizes societies in the shared neighbourhood.

8. The integration rationale of the 'in-between' countries is based on the idea of integration advantages (natural and financial resources, beneficial trade, and modernisation opportunities, etc). Ultimately, the states in the shared neighbourhood fear a USSR-like situation: domination of the centre without sufficient resources.

9. The role of the United States in the shared neighbourhood is heavily exploited in propaganda but insufficiently addressed in diplomacy. A sustainable solution to the crisis requires an active engagement of all actors – EU, Russia, United States and the countries in question.

Bridging the Divide: Track-I

10. Quick solutions to the problem of geopolitical escalation in eastern Europe are unlikely to succeed, as regional tensions remain high and warring states are still determined to fight for their cause. Therefore, stopping hostilities in Donbas is of the utmost priority. No political settlement in Ukraine and in the region at large is possible beforehand.

11. Countries in the shared neighbourhood should be important players on all matters of crisis resolution and post-crisis regional settlement. Small countries have levers and abilities to block some of the Great Powers' decisions. Hence, "another Yalta is impossible".

12. To be both viable and attractive, regional integration projects need to fit into the constellation of international relations in eastern Europe that will emerge after the Ukraine crisis. At a minimum, they need to avoid strengthening dividing lines and provide the 'in- between' states with enough space for geopolitical and geo-economic complementarity. In the case of the Eastern Partnership, a double-track approach is emerging, as Georgia, Moldova and Ukraine have effectively formed an 'association league'. But the other three EaP countries – Armenia, Azerbaijan and Belarus – should not be isolated.

13. A sustainable security area in the shared neighbourhood cannot be built without Russia. Nor can Ukraine's economic problems be effectively addressed in the short term without Russia. Therefore, the European Union ignoring Moscow and vice versa is not helpful. Long-term regional solutions need to reflect the reality on the ground and incorporate decision-makers in the regions as well.

14. Confidence-building among regional actors and stakeholders is key to de-escalation in the shared neighbourhood. Intensified communication across dividing lines with a focus on technical, rather than geopolitical, issues should be prioritised.

15. The concept of a 'Greater Europe' from Lisbon to Vladivostok remains abstract, as it is not clear how conceptually valid it is without resolving the intractable Crimea problem. However, the idea of modernisation in the framework of a common economic area has potential to become a common denominator, but only in the longer run.

16. Depoliticised technical discussions about prospects for a common economic area between the European Union and the Eurasian Economic Union need to begin as confidence-building exercises and a contribution to future stability. They should not focus on the macro level only. The micro level (local and district public administrations, businesses, local communities, cross-border cooperation etc.) is of crucial importance. Economically at least, the questions remain the same anyway: rule of law, quality of infrastructure, customs practices, administrative efficiency, business climate, etc.

Bridging the Divide: Track-II

17. Against the backdrop of existing dividing lines and growing geopolitical escalation, a track-II dialogue is a crucial channel of communication and another pillar of confidence- building among actors and stakeholders in the region.

18. Minsk has demonstrated itself to be a suitable venue for such a dialogue due to its newly established status as neutral ground for negotiations to resolve the Ukraine crisis. It has the clear potential to attract experts from all countries in the region and has now

been proven “fit” to host discussions about relations between the European Union and the Eurasian Economic Union – due to precedent, and perhaps more importantly, due to its unique status as an original member of both the Eurasian Economic Union and the Eastern Partnership.

19. A track-II platform in Minsk (the “Minsk Dialogue”) should organise regular meetings with a view to facilitating inclusive discussions about prospects, rather than focusing on the status quo and present-day positions of regional actors.

20. The issue of protracted territorial conflicts in the shared neighbourhood (including lessons from the older conflicts in the post-Soviet space for the Donbas crisis) should be a priority for future Minsk Dialogue meetings, especially given Minsk’s other role in the Nagorno-Karabakh conflict (the “other” “Minsk Group”). A technical dialogue between the European Union and the Eurasian Economic Union would be another priority, only with a longer-term perspective.